

Fearnleys Dry Bulk Weekly

Jan 21, 2026



Capesize/Newcastlemax

We do not expect the market to continue rallying, as hot metal output in China is still relatively low, and the Chinese New Year is upcoming. However, like last week, we reiterate that a Jan/Feb like 2024 is highly likely.

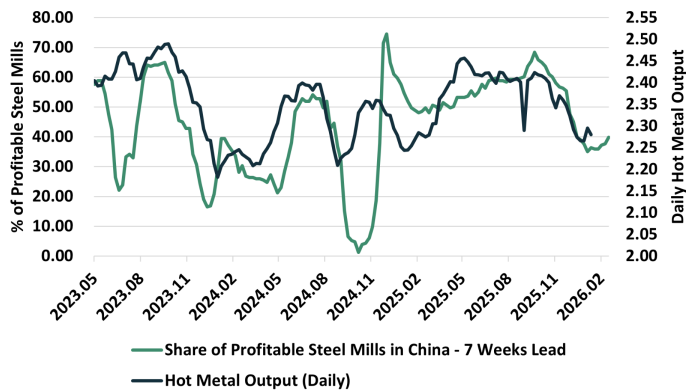
Top left chart: Steel mill profitability ticked up last week. However, no significant upturn in hot metal output is suggested yet. This is one reason not to expect the Cape/Newc market to continue rallying from here.

Top right chart: Higher backwardation = more urgency to buy, and vice versa. The futures curve suggests tailwinds for Capes through most of Q1, but the curve has recently dipped into contango.

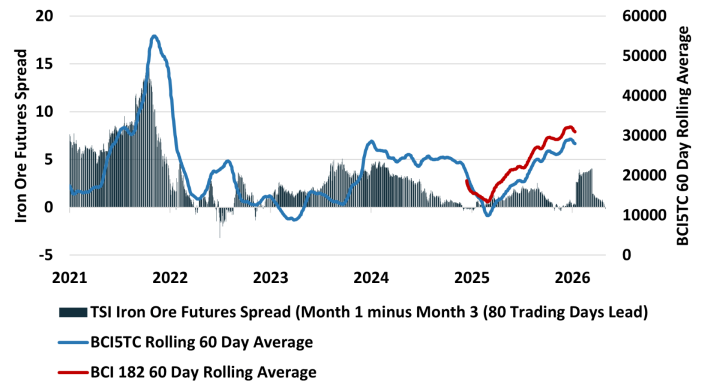
Bottom left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Bottom right chart: The Cape/Newc laden ballast ratio has come down from levels that indicate a top. However, it is still far from signalling a bottom is in.

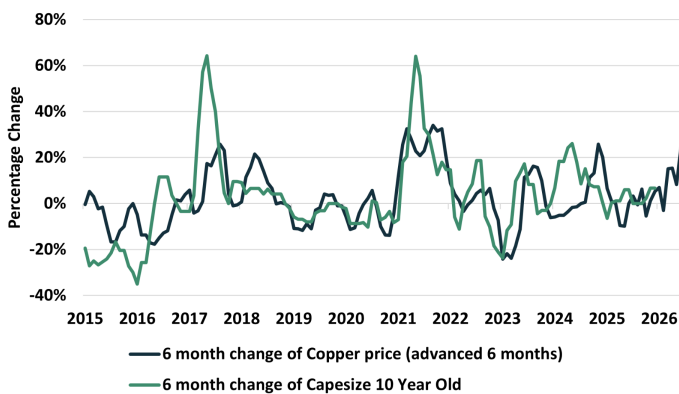
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



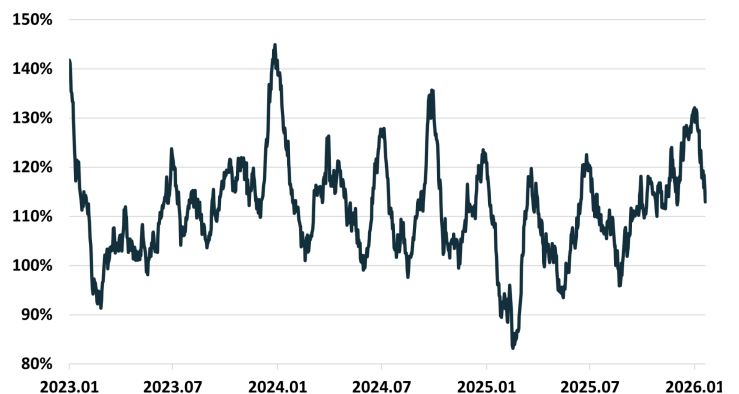
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Copper Price Lead vs Capesize 10-Year Old



Cape/Newc Laden/Ballast Ratio



Panamax/Kamsarmax

Indicators below still look bullish, but expect some flattening out or slightly downward move to occur around the Chinese New Year weeks. Then, we expect a resumption of the rally after that.

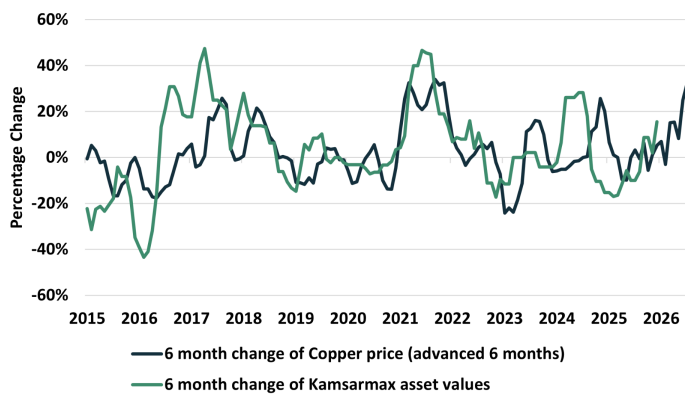
Top left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Top right chart: Since last week, the coal futures curve turned slightly less bullish. However, it is still suggesting a rising market over the next two months.

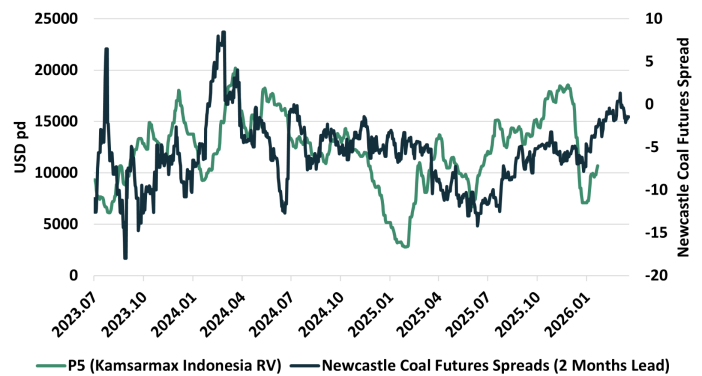
Bottom left chart: The net vessel change into the North Atlantic is positive, which more often than not correlates with a relative outperformance in the basin. That, along with positive indicators on the main routes should mean the basin will see a stable to firm development going forward.

Bottom right chart: The SATL tightness indicator correctly called the bottom, and suggests the market will trend up going forward.

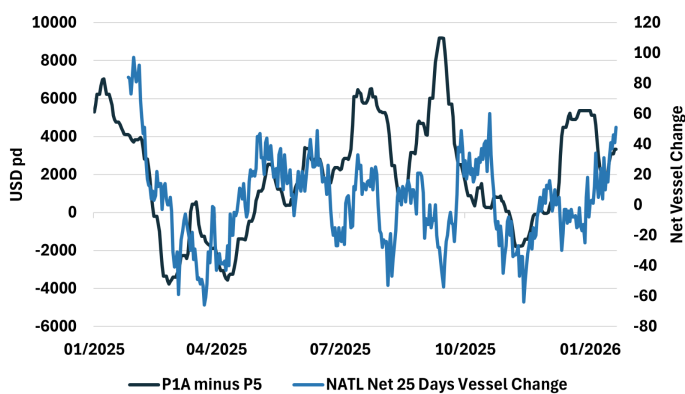
Copper Price Lead vs Kamsarmax 10 Year Old



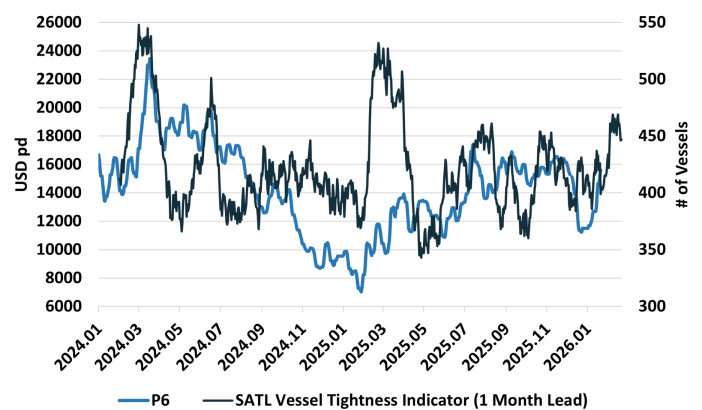
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic net Vessel Change vs P1A minus P5



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



Supramax/Ultramax

We still expect a stable to firm market development over the coming weeks. A real rally will likely have to wait until after the Chinese New Year.

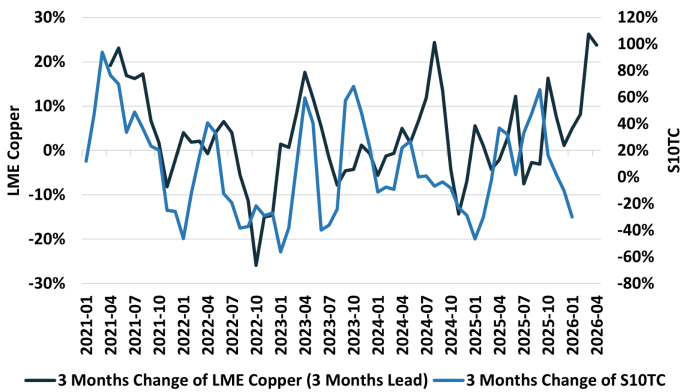
Top left chart: The three-month change in the price of copper looks very bullish for the coming months, and the three-month change of the S10TC index is very low.

Top right chart: Same as with the top left chart, but here illustrated a bit differently, and against 1 year TC. Rising momentum suggested through Q1 and the start of Q2.

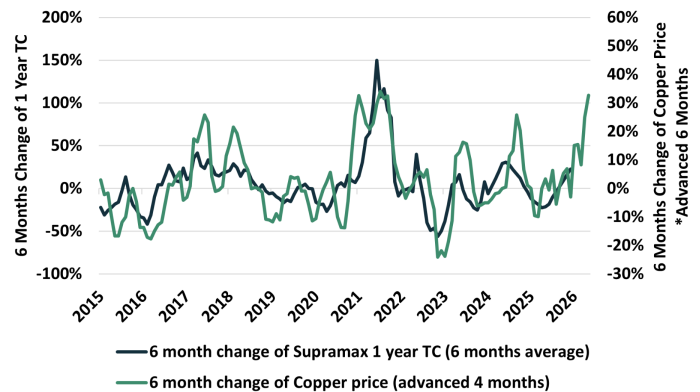
Bottom left chart: An industrial metals index including other metals as well, like Aluminium, Zinc and Nickel. This index is now at similar heights to the peak in Q1 2022. Can market levels climb to the same heights as back then? Right now, that seems like an unreasonable idea...

Bottom left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

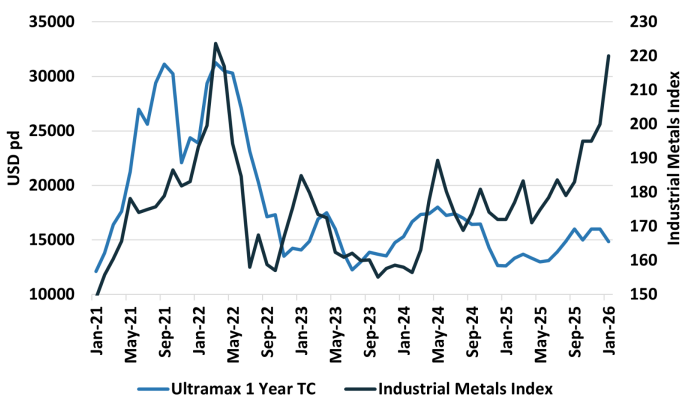
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



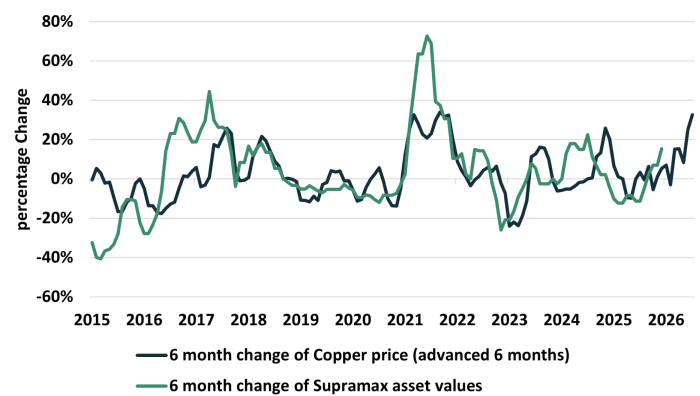
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Copper Price Lead vs Supramax 10-Year Old





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